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NOTE: The following memorandum represents both a version to be utilized by the C-in-C in official discussions with Washington agencies and a version which may be given a public release. Portions lined out (~~lined out~~) are included in the classified copy of the memo. G-3 and DC/S, FEC have recommended that the lined out portions be deleted from any copy released to the public and that the copy be edited by the addition of underscored words (Additionally I have).

D R A F T

GENERAL HEADQUARTERS
FAR EAST COMMAND
Office of the Commander-in-Chief

14 Jun 50

MEMORANDUM ON FORMOSA:

1. Since the Fall of 1948 when the military capability of the Chinese Communist to engulf all of the mainland of China became clearly evident I have been concerned as to the future status of Formosa and I have been convinced that the strategic interests of the United States will be in serious jeopardy if Formosa is allowed to be dominated by a power hostile to the United States. In my personal conversations with distinguished civilian and military representatives of the Government of the United States who have visited this Headquarters during the past eighteen months I have reiterated the premise that Formosa should not be allowed to fall into the hands of a potential hostile power or of a regime which would grant military utilization of Formosa to a power potentially hostile to the United States. ~~On the 29th of May last~~ Additionally I have forwarded to the Joint Chiefs of Staff my estimate of the strategic consequences which would result from the capture of Formosa by the Chinese Communists.

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2. The front line of the Far East Command as well as the western strategic frontier of the United States rests today on the littoral islands extending from the Aleutians through the Philippine Archipelago. Geographically and strategically Formosa is an integral part of this offshore position which in the event of hostilities can exercise a decisive degree of control of military operations along the periphery of Eastern Asia. In the event of a war United States striking forces based on this line would have the capability to interdict the limited means of communication available to the Communists and deny or materially reduce the ability of the USSR to exploit the natural resources of East and Southeast Asia. This essential capability on the part of the United States is dependent to a large degree upon the retention of Formosa by a friendly or a neutral power.

3. The geographic location of Formosa is such that in the hands of a power unfriendly to the United States it constitutes an enemy salient in the very center of that portion of our position now keyed to Japan, Okinawa and the Philippines. At the present time there is on Formosa a concentration of operational air and naval bases which is greater than any similar concentration on the Asiatic mainland between the Yellow Sea and the Strait of Malacca. Additional bases can be developed in a relatively short time by an aggressive exploitation of World War II Japanese facilities not now utilized by the Chinese Nationalist Forces. Formosa bases are 100 miles closer to Okinawa than any point on the Chinese mainland and are 150 miles closer to Clark

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Field and Manila than any other area which could be acquired by Communist military forces. An enemy force utilizing those installations currently available on Formosa could increase by 100 per cent the air effort which could be directed against Okinawa as compared to operations based in China proper and at the same time could direct damaging air attacks with fighter type aircraft against our installations in the Philippines which are currently beyond the range of fighters based on the mainland of Asia.

4. As a result of its geographic location and base potential, utilization of Formosa by a military power hostile to the United States may either counterbalance or overshadow the strategic importance of the central and southern flank of the United States front line position. Formosa in the hands of the Communists can be compared to an unsinkable aircraft carrier and submarine tender ideally located to accomplish Soviet offensive strategy and at the same time checkmate counteroffensive operations by [redacted] United States Forces based on Okinawa and the Philippines. This unsinkable carrier-tender has the capacity to operate from ~~ten to twenty~~ several air groups of types ranging from jet fighters to B-29 type bombers as well as to provide forward operating facilities for the short-range coastal submarines which are predominant in the Russian Asiatic Navy. If Formosa should be acquired by the Chinese Communists and bases thereon made available to the USSR, Russia will have acquired an additional "fleet" which will have been obtained and can be maintained at an incomparably lower cost to the Soviets than could its equivalent in ~~of ten or twenty~~ several aircraft

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carriers with their supporting forces.

5. Current estimates of Soviet air and submarine resources in the Far East ~~agreed to by both Washington and Tokyo military intelligence agencies~~ satisfy me that the Russians have the capability to extend their forces southward from their present positions and still maintain an imposing degree of military strength in both the Maritime Provinces and the Chinese seaboard. The ability of the USSR-Chinese Communist hordes to meet promptly logistic requirements either by improvisation or by the import of critical materials from Europe is being demonstrated daily by military activities extending from Tientsin to the southern border of China. The interest of the USSR in the southward displacement of terminii of the Trans-Siberian Railroad has been reported by competent observers whose information indicated that rail lines are being extended through China southward from the vicinity of Lake Baikal and eastward from Russia Turkestan in the vicinity of Alma Ata. A Trans-Siberian railhead in the vicinity of Shanghai would materially assist in the logistic build-up of Formosa. Pending the actual outbreak of hostilities United States military forces will be unable to prevent the stockpiling of essential military supplies on Formosa if that area is acquired by the Communists.

6. Historically Formosa has been used as a springboard for military aggression directed against areas to the south. The most notable and recent example was the utilization of Formosa by the Japanese in World War II. At the outbreak of the Pacific War in 1941, Formosa

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played an important part as a staging area and supporting base for the various Japanese invasion convoys. The main strength of the forces which landed at Lingayen Gulf on Luzon were staged from Keelung, Takao, and the Pescadores. The supporting air forces of Japan's army and navy were based on fields situated along Southern Formosa at Takao, Koshun, and Taichu. Takao also served as a staging area for the invasion of Java in February 1942. From 1942 through 1944 Formosa was a vital link in the transportation and communications chain which stretched from Japan through Okinawa and the Philippines to Southeast Asia. In 1944-45 Formosa was the key staging point for troops and air reinforcements deployed to the Philippines in preparation for the all-important operation to hold the Philippine areas. As the United States carrier forces advanced into the Western Pacific, the air bases on Formosa assumed an increasingly greater role in the defense scheme of the Japanese. After the invasion of Luzon in January 1945 the Japanese air forces withdrew to Formosan fields to take up forward operational positions to be used against our advancing forces. The military utility of Formosa is sharply underlined by the fact that Japan in 1941 controlled not only the Ryukyus but the entire eastern periphery of China.

7. In addition to its military value, Formosa has not only been self-sufficient as regards food for its own population but it has exported since 1910 with a favorable balance of external trade. In normal times Formosa held the position of a food surplus area in a generally food-scarce locality. Its prewar export of rice and wheat exceeded imports by approximately 600,000 metric tons annually. There is no reason

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to believe that able political and economic advisors cannot once more establish Formosa as a prosperous economic unit. Such a factor, particularly the availability of a food surplus, may be of considerable importance in re-establishing the economies of those Oriental nations now largely dependent upon United States assistance.

8. Formosa represents a political area of no less importance to western ideology than other areas in the Orient. The Taiwanese are a homogeneous racial group who as individuals have resisted the intrusion of foreign blood. Although Formosa was promised to China as a consequence of World War II this promise was given in consonance with a political situation entirely different than that which now exists. There is every basis from a moral standpoint to offer to the Taiwanese an opportunity to develop their own political future in an atmosphere unfettered by the dictates of a Communist police state. In view of the moral implications, as well as the geographic proximity of this area to other endangered peoples on and near the periphery of China, the future status of Formosa can well be an important factor in determining the political alignment of those national groups who have or must soon make a choice between Communism and the West.

9. There can be no doubt but that the eventual fate of Formosa largely rests with the United States. Unless the United States political-military strategic position in the Far East is to be abandoned, it is obvious that the time must come in the foreseeable future when a line must be drawn beyond which Communist expansion will be stopped, ~~by the~~ Western ~~Powers~~. As a means of regaining a proper United States posture in the

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Orient it is apparent to me that the United States should initiate measures to prevent the domination of Formosa by a Communist power. I am equally certain that it would be a fundamental error with regard to any part of the Orient to fail to take appropriate measures in those areas still open to our influence.

10. ~~At this time I am unable to recommend the exact political, economic and military measures which should be taken to prevent the fall of Formosa either into the hands of a potential hostile power or into the hands of a power who will grant military utilization of Formosa to a hostile power. It is my firm conviction that a realistic estimate of requirements can only be based upon a physical survey of the area made by experienced military, economic and political observers. I concur wholeheartedly with the recommendations made by the Joint Chiefs of Staff on 23 December 1949 to the effect that the Commander-in-Chief Far East with the assistance of Commander, 7th Fleet should make an immediate survey of the need and extent of the military assistance required in Formosa in order to hold Formosa against attack. Although this recommendation apparently was not acceptable at the time to the National Security Council, I note that the Joint Chiefs reaffirmed this recommendation on 4 May 1950.~~

10. ~~11.~~ Formosa has not yet fallen to Communist domination. There are conflicting reports as to the capability and will of the Chinese Nationalist Forces as now constituted and equipped to prevent either the military or political conquest of the island of Formosa. I cannot predict that the cost may be of preventing Communist domination of that

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island, although I have advised the Joint Chiefs of Staff what the cost may be if such an event transpires. I am satisfied, however, that the domination of Formosa by an unfriendly power would be a disaster of utmost importance to the United States, and I am convinced that time is of the essence. ~~I recommend that the Commander-in-Chief Far East be authorized and directed to initiate without delay a survey of the military,-economic, and political requirements to prevent the domination of Formosa by a Communist power and that the results of such a survey be analyzed and acted upon as a basis for United States national policy with respect to Formosa.~~ I strongly believe

Douglas MacArthur